

Multiple Choice (10 marks)

1. What are some reasons why there has been a relative shift from farming?
 - (a) The invention of automated systems that have made traditional farming obsolete
 - (b) Emergence of widespread diseases that make farming untenable
 - (c) Shift in consumer preferences towards synthetic foods
 - (d) A global decrease in the demand for agricultural products
 - (e) People seek the higher incomes of the city, shorter hours, and better social life in town
2. What is the main objective of modern central banking? Explain.
 - (a) Formulation of policies that influence the monetary base.
 - (b) Controlling inflation
 - (c) Directly controlling unemployment rates
 - (d) Managing government spending and fiscal policy
 - (e) Overseeing the stock market and financial investments
3. If the demand for dollars rises while the supply of dollars falls then the
 - (a) dollar will remain stable.
 - (b) dollar will lose its status as a global currency.
 - (c) inflation will rise.
 - (d) exchange rates will rise but the value of the dollar will not be affected.
 - (e) value of other currencies will fall.
4. What is the chief reason why farm policy was not conceived as simply part of an overall income distribution policy?
 - (a) Geographic diversity of farming regions
 - (b) Environmental concerns
 - (c) Consumer preference for organic produce
 - (d) Lack of funding
 - (e) Technological advancements in agriculture
5. How might the traditional view of economic efficiency in an oligopoly and the historical facts surrounding many oligopolistic manufacturing industries disagree with each other?

- (a) Historical data contradicts theory
- (b) Oligopolies are less common in practice than in theory
- (c) There is no contradiction between theory and practice
- (d) Historical data is insufficient to determine the efficiency of oligopolies
- (e) Oligopolies typically demonstrate higher innovation rates than predicted

True / False (10 marks)

Answer True or False

- 6. True or False: Monopolistically competitive industries often feature product differentiation, leading to a loss of perfect substitutability among products.
- 7. True or False: Marginal social cost is equal to marginal private cost plus marginal social benefit in an economy.
- 8. True or False: Monopolistic competition only occurs when firms sell completely different products with no similarities.
- 9. True or False: As the Japanese economy expands, U.S. net exports decrease, causing a decrease in the value of both the dollar and the yen.
- 10. True or False: An increase in both short-run aggregate supply and aggregate demand guarantees that both the price level and real GDP will fall.

Long Form Response (20 marks)

Answer each question with a clear and complete explanation.

- 11. Discuss the implications of finding no evidence of structure in time-series data when using standard analytical tools. What does this suggest about the nature of the data?
- 12. Discuss the transaction between Elsa and David, analyzing the implications of producer surplus and consumer surplus in this scenario. What do these surpluses reveal about their negotiation?

End of Paper